

CP 2015 Table 2A. Predictive regressions of rx_bar

Regressor	(1) Yields	(2) Yields+tau	(3) y1,ybar	(4) y1,ybar,tau	(5) c1,cbar
y(1) or c(1)	0.50 (0.93)	0.23 (0.50)	-0.39 (-1.94)	-0.79 (-3.92)	-0.59 (-3.59)
y(2)	-2.37 (-1.92)	-0.82 (-0.91)			
y(4)	4.70 (1.31)	1.70 (0.82)			
y(5)	-4.35 (-1.43)	-3.34 (-1.78)			
y(9)	8.60 (3.36)	9.13 (3.00)			
y(10)	-6.92 (-3.34)	-6.22 (-2.35)			
tau^CPI		-0.94 (-3.58)		-0.70 (-2.33)	
ybar or cbar			0.52 (2.39)	1.23 (4.20)	1.01 (4.13)
R2_bar	0.25	0.45	0.17	0.31	0.27
Wald	47.67	56.10	12.69	24.41	17.26
Wald p	0.000	0.000	0.002	0.000	0.000
Rel.prob.(BIC)	0.86	1.00	0.84	0.92	0.90

LHS: duration-standardized, maturity-averaged excess return rx_bar_{t+1} . US, 300 obs (1990m1-2014m12).

Cells: coefficient (Newey-West HAC t-stat, 18 lags). Rel.prob.(BIC) = $\exp((BIC_best - BIC_i)/2)$; best model = 1.00.